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Minute of Dissent

PURSHOTAMDAS'S MINUTE OF DISSENT WHICH was the result of prodigious industry and research has been described as 'a monumental and memorable document.'[1] He scrutinized a vast quantity of files, documents, statistics, blue books, and reports to prove that the adoption of the 1s 6d rate was an unjustified imposition. Purshotamdas refused to accept a ratio which he argued had been reached by manipulation by the executive and submitted a closely reasoned Minute of dissent supported by facts and figures on the exchange ratio. He did not agree with his other colleagues on the Commission who maintained that prices had adjusted themselves to the 1s 6d rate. Nor did he accept their argument that it was the *de facto* rate, and the 'least injury' would be done to all by adhering to it.

The Herschell Committee had recommended a 1s 4d rate; the Fowler Committee had made a similar recommendation which led to the government officially adopting this rate. 'It remained the effective standard until August 28, 1917, when in consequence of the abnormal rise in the price of silver caused by the war, the government raised the rates for the sale of council drafts to correspond roughly to the price at which silver for coinage could be bought.'[2] In consonance with the recommendations of the Babington Smith Committee, the government adopted a new ratio of 2s gold. This decision, with the actual rate at 1s 4 5/16d (gold) and gold prices in slow decline proved to be disastrous for the already weak export trade and gave a boost to imports. Purshotamdas argued that 1s 6d was not the